

Lesson 2.17: The Crisis and Panic Selling

Unit: Unit 2, Me, My Goals, My Money (Individual Growth and Life Readiness) **Topic:** 2.4 ClassroomStreet Investor Challenge **Grade:** 6 to 8 (written at grade 7; see Differentiation for the grade 6 support and grade 8 stretch) **Days:** 2 class periods of 40 minutes **Room:** classroom with devices (paper ledger version in Project 02)

Standards

- NYS module line: NYS IGLR 4. Financial Readiness e) Determine ways for saving money
- NYS module line: NYS IGLR 2. Goal Setting d) Design, implement, and evaluate a plan to attain a desired goal
- CTE theme line: CTE PSI 1. Problem Solving e) Demonstrate personal development of problem-solving skills through practice of these skills in a variety of classroom applications
- CTE theme line: CTE HSW 6. Stress Management c) Recognize signs of stress and take steps to reduce its impact on overall wellness
- NYS FACS Learning Standard 3 (Intermediate), Key Idea: Students will understand and be able to manage personal resources of talent, time, energy, and money and make effective decisions in order to balance their obligations to work, family, and self.; Performance Indicator: Students understand the resources available to them, make informed decisions about the use of those resources, and know some ways to expand resources.
- CDOS Standard 3a Universal Foundation Skills: Thinking Skills
- National FCS 3.0: 2.1.2 Examine how people and families choose among needs and wants.

Note on the NYS FACS citation: the topic plan named Standard 3 PI B and PI D for this lesson. PI D reads “Students understand how working contributes to a quality living environment,” which does not fit a lesson on a market crash, so it is not cited. The decision-making language the lesson needs is in the Standard 3 Key Idea (“make effective decisions”), quoted above. Standard 1 PI D (“Students apply the decision making process to dilemmas related to personal health”) fits the stress half of this lesson, but the state assigns only Standards 2 and 3 to the IGLR module, so it is not cited either.

Enduring understanding and essential question

Big idea: A crash is when the price of a thing falls fast and everyone feels it at once. The feeling is real; the loss is only real if you sell. The people who do worst in a crash are usually the ones who decided fastest. **Essential question:** When your money is falling and everyone around you is selling, what is the smart thing to do, and how would you know?

Objectives

By the end of this lesson, students will be able to: 1. (Low) Given the crisis dispatch, describe what a market crash is and name two signs of stress they noticed in themselves or the room. 2. (Mid) Given their own crashing portfolio, apply the five-step decision model (name the choice, list options, weigh each against what matters, decide, look back) to the sell, hold, or buy choice and record it on the decision grid. 3. (High) Given the class poll and two real crashes, evaluate their own Day 1 decision in writing: was it a plan or a panic, and what evidence says so.

Vocabulary

Tier 2 (general academic): crisis, panic, evidence, recover Tier 3 (FACS): market crash, panic selling, sell, hold, buy, loss aversion (grade 8 stretch only), recovery. See the unit vocabulary list for Turkish, Portuguese, and Spanish.

Materials and setup

- Devices and login cards
- Handout 02.17 - Sell Hold Buy Decision Grid.md, one per student
- Investor Journal in the folder
- Four corner signs: SOLD SOME, SOLD EVERYTHING, HELD, BOUGHT MORE (for Day 2)
- Slides: Slides 02.17 - The Crisis and Panic Selling
- Exit cards
- Setup notes: before class on Day 1, use Jump to Window to set the market to window 25, the first crisis window, so the crisis dispatch is the first thing students see when they log in. Do not tell them the day before. In Sal's simulation the crisis runs windows 25 to 32: Sparkstone and Cloudberry fall 15 to 25 percent per window, Iron Vault and Crown Seal barely move, Honeypot does not move, Willowbrook dips and recovers, Meadowgold drops 5 to 10 percent. *[Sal: confirm the crisis window numbers and the name of the crisis on the live site; your files call it The Great Dustfall in one place and The Clash of the Deep in another. This unit says "the crisis."]* Have the class list ready for the clipboard check on emotion words. Tell the health teacher this is the week the stress lesson happens, so the words match.

Pre-assessment

The Lesson 2.16 exit cards and pie sketches tell you who is walking in with one big slice. Those students are the ones to watch in the first three minutes of Day 1, not to rescue, but to make sure they are writing before they trade.

Do now and hook (Time: 3 min, Day 1)

The crisis dispatch is on the projector when students walk in, full text, with the ticker showing the first drops. On the board: "Read the dispatch. Look at your total fortune. Write one word for how you feel and one thing you want to do right now. Do not trade yet."

Debrief: collect the feeling words out loud, fast, and write them on the board (scared, mad, fine, excited, sick). The hook is the board itself: “Every one of those words has cost somebody real money. Today you learn to feel it and still think.”

Procedure

Step	Teacher will	Students will	Time
Day 1, 1. Direct instruction: emotions and money	Slides 3 to 5. What a crash is: prices of risky ventures falling fast because more people want out than in, all at once. Then the body: the signs of stress from HSW 6. c) (a fast heartbeat, a tight stomach, wanting to act right now, not being able to think of anything else) and the one step that helps before a money decision: stop, breathe once, name what you are choosing. Say the two facts that matter: you have not lost anything until you sell, and the safe ventures on your screen did not move. Point at HNYP and SEAL on the ticker.	Circle any stress sign they felt on the decision grid. Check the ticker: which ventures did not move.	6 min
Day 1, 2. Learning activity: the decision grid	Hand out the grid. Walk the five steps with the class’s biggest one-slice portfolio as the example (yours, the teacher account, loaded with Sparkstone on	Fill the grid for their own portfolio. Write the decision and one reason before touching the device.	10 min

	purpose). Name the choice: sell, hold, or buy more. List the three options. Weigh each against what matters (three rows on the grid: what happens if prices keep falling, what happens if they recover, how I will feel next week). Decide. Leave “look back” blank for Day 2. Students do their own grid for their own portfolio. Circulate; require a written decision before any trade.		
Day 1, 3. Trading window	Advance windows 26 to 28, one click about every three minutes. Read every dispatch aloud in a flat voice. Say once, before the first click: “Your grid says what you decided. If you change your mind, write why on the grid first.” Circulate with the clipboard: who is selling, who is buying, who is frozen.	Trade or hold according to the grid. Record every trade on the grid’s trade box and on Entry 6.	10 min
Day 1, 4. Investor Journal, Entry 6	Prompt: what I did, why, what happened, plus: how I felt at the start and how I feel now, in one sentence each.	Write Entry 6 with total fortune.	7 min
Day 1, closure	See Closure.	4 min	
Day 2, do now	On the board:	Circle and write.	3 min

	“Yesterday I: sold some / sold everything / held / bought more. Circle one. Today the crisis is still going. Write your plan for today in one sentence before you log in.”		
Day 2, 5. Learning activity: the class poll	Four corners. Students go to the corner that matches what they did yesterday. Count each corner on the board. Ask one student in each corner: why. Then the question that makes the lesson: “Whose total fortune dropped the most from yesterday morning to right now?” Take three numbers from each corner. Write the corner averages if the numbers allow. Usually SOLD EVERYTHING locked in the biggest loss; HELD is down on paper; BOUGHT MORE is down more on paper and has the most units. Do not declare a winner; the recovery decides that next lesson.	Move to a corner. Give a reason. Report a number.	6 min
Day 2, 6. Direct instruction: two real crashes	Slides 9 and 10, one crash each, at a middle school level. Crash 1, 2008:	Take notes on the two-column organizer on the back of the decision	10 min

	banks had lent money for houses to people who could not pay it back; when the loans failed, the banks failed, and the big stock market index fell about half over a year and a half. It took about four years to get back to where it was. People who sold at the bottom and never came back missed the recovery. Crash 2, 2020: a virus closed most of the world in a month; the same index fell about a third in about five weeks, then got back to where it was in about five months. Both times, the safe assets (government bonds, savings accounts) held. Both times, the people who kept buying a little every month came out ahead. Say the caution too: not every company recovers; some of the companies that fell in 2008 never came back. That is why diversification, not one lucky guess. <i>[Sal: check the figures against a current source</i>	grid: what caused it, how far it fell, how long to recover, what held.	
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	<i>before presenting; they are rounded from widely reported numbers.]</i>		
Day 2, 7. Trading window	Advance windows 29 to 32, one click every two and a half minutes. The last crisis window is 32; the recovery begins next lesson. Circulate.	Trade or hold, according to today's plan from the do now. Record trades on Entry 7.	10 min
Day 2, 8. Investor Journal, Entry 7, and "look back" on the grid	Prompt: what I did, why, what happened, plus: fill the "look back" row on the grid: was my Day 1 decision a plan or a panic, and what is my evidence (a number from the ledger).	Write Entry 7 and the look back row.	7 min
Day 2, closure	See Closure.	4 min	

Day 1 totals 40 minutes: 3 + 6 + 10 + 10 + 7 + 4. Day 2 totals 40 minutes: 3 + 6 + 10 + 10 + 7 + 4.

Questions to ask

Monitor understanding: - Which ventures on the ticker did not fall? Why those? - You held. Your total fortune is down 3,000. Did you lose 3,000? - You sold everything at window 26. What would you need to see to buy back in?

Deepen learning: - Two students both have Sparkstone. One sold at the first drop, one held. Which one made the decision, and which one had the decision made for them by their stomach? - In 2008, who was hurt worst: the people who never invested, the people who held, or the people who sold at the bottom? What does that tell you? - What does a stress sign feel like in your body, and how would you know it before you tap Sell?

Check for understanding

Day 1, Step 2: clipboard yes or no per student on "grid has a decision written before the first trade" and "the reason names a number or a risk level, not a feeling alone." Day 2, Step 8: yes or no on "look back names a piece of evidence." A "got it" look back sounds like: "Panic. I sold 200 SPRK at 40.50 and it is 31.20 now, so I would have been worse off holding today, but I had no plan for buying back."

Closure (Time: 4 min each day)

Day 1: two students read the “how I feel now” sentence from Entry 6. Exit card: “One stress sign I noticed today, and one thing I did or could do before a money decision.” Sort into “got it” (names a sign and a step) and “needs more” (the health teacher’s stress lesson covers the rest; flag the cards for them). Day 2: exit card, 3-2-1: 3 things that happened in one real crash, 2 kinds of ventures that held, 1 sentence: plan or panic, and why. Three students read the “1” aloud, from different corners if possible. Sort; a student who could not name a held venture gets the two-crash organizer with the “what held” column filled by the teacher.

Differentiation and supports

- ELL: the crisis dispatch is read aloud twice, once fast and once slow; the decision grid has the five steps as icons (a question mark, a list, a scale, a check mark, a mirror) and a word bank for feelings in English, Turkish, Portuguese, and Spanish (scared, worried, calm, angry, excited); sentence starter “I felt ___ when the prices dropped” is on the journal template; the two-crash organizer is a table, not a paragraph.
- IEP and 504 (general): a student who becomes distressed by the drop can turn the device face down and do the grid on paper first with the teacher’s numbers; the four-corners poll can be done seated with a hand vote; the two-crash notes can be a printed slide with two blanks each; extended time by finishing the look back at the start of Lesson 2.18. Tell the counselor’s office in advance that this week is a designed stress moment in a simulation, so no one is surprised by what a student reports.
- Grade 6 support: the grid weighs two options (sell or hold), not three; the two crashes are taught as one story (2020) with 2008 mentioned in one sentence.
- Grade 8 stretch: introduce the term loss aversion (losing 100 feels worse than winning 100 feels good) and ask the student to find one line in their journal that shows it; the student computes the percent drop of one venture across the crisis windows from the ledger (a preview of Lesson 2.18).
- UDL checkpoint used: multiple means of engagement (a real feeling, named and managed, in a safe setting) and multiple means of action and expression (the grid can be written, dictated, or done with the icon strip and a check mark).
- No-device alternative: the teacher reads the crisis dispatch from the paper ledger script and posts the Day 6 and Day 7 prices on the board. Students record sells and buys on the ledger sheet. The four-corners poll works the same. The grid is paper already.

Assessment

Objective	Standards met	Learning task	Assessment (formative or summative; tool)
1. Describe a crash and name two stress signs	HSW 6. c); IGLR 4. e)	Do now; Day 1 exit card	Formative; exit card sorted got it or needs more

2. Apply the five-step decision model to sell, hold, or buy	PSI 1. e); IGLR 2. d); Std 3 KI; CDOS 3a Thinking Skills; National FCS 2.1.2	Decision grid, Day 1 Step 2, and the trades that follow	Formative now; summative on Rubric 02 criterion 3 (emotional control during the crisis), where “a written decision before the trade” is the Meets descriptor
3. Evaluate the Day 1 decision as plan or panic with evidence	IGLR 2. d); Std 3 PI B; CDOS 3a Thinking Skills	Look back row and Entry 7, Day 2 Step 8	Formative now; summative on Rubric 02 criterion 3 and criterion 4 (the report’s “what the crisis taught me” section)

Homework

None. Optional: ask an adult if they remember 2008 or March 2020 and what they did with their money, if they are willing to say. No dollar amounts.

Connections

Health: the stress signs and the “stop, breathe, name the choice” step are the health teacher’s territory (HSW 6). Coordinate the week so both classes use the same words; FACS gives health a live stress moment students can name, health gives FACS the calming techniques. Social studies: 2008 and 2020 as recent history.

Sources

- NYS Middle Level CTE FACS Content Module 01, Individual Growth and Life Readiness, lines 2. d) and 4. e).
- NYS Middle Level CTE Theme Module 05, Problem Solving and Innovation, line 1. e); Theme Module 04, Health, Safety, and Wellness, line 6. c).
- NYS FACS Standard 3, Intermediate; CDOS 3a Thinking Skills; National FCS 3.0 competency 2.1.2, all per 02 Standards/STANDARDS CROSSWALK.md.
- The five-step decision model from Unit 0: name the choice, list options, weigh each against what matters, decide, look back.
- Sal’s own materials: Fortune_Street_Lesson_Plan.docx (Days 7 and 8, the crisis and holding strategy, and the warm-up “Your friend sold everything. You held. Who made the better choice?”); Fortune_Street_How_To_Guide.docx section 7 (managing the crisis, “Don’t warn students ahead of time”); FortuneStreet/README.md (the crisis price rules by venture).
- The 2008 and 2020 figures are rounded from widely reported values for the S&P 500 index (a fall of about 57 percent from October 2007 to March 2009, recovered by

2013; a fall of about 34 percent from February 19 to March 23, 2020, recovered by August 2020). *[Sal: verify against a current source before the slides go on the site.]*

Teacher notes

- If Day 1 runs short, cut the journal entry to the three base sentences and take the feelings lines into the Day 2 do now. Never cut the grid before the trading window; a trade with no written decision is the panic the lesson is trying to catch.
- The teacher account: load it with Sparkstone before Day 1 so you have a real crashing portfolio to model the grid on. Students watch you not panic.
- Common mistake: a student who sold everything on Day 1 wants to “start over.” No resets during the crisis. The report they write about that decision is worth more than a clean leaderboard.
- Watch for a student who is genuinely upset, not game upset. It happens about once a year. The device goes face down, the grid gets done on paper, and the leaderboard is not mentioned to that student again this week.
- Do not tell the class the recovery starts next lesson. Some of them will figure it out from the last dispatch of Day 2 and buy low; that is the best possible Entry 7.
- *[Sal: your Day 8 warm-up about the friend who sold is a better four-corners opener than mine if you want to use it. It is quoted in the Sources.]*